

INDIA EQUITIES / ELECTRICAL EQUIPMENT

Polycab India

Equity research and valuation

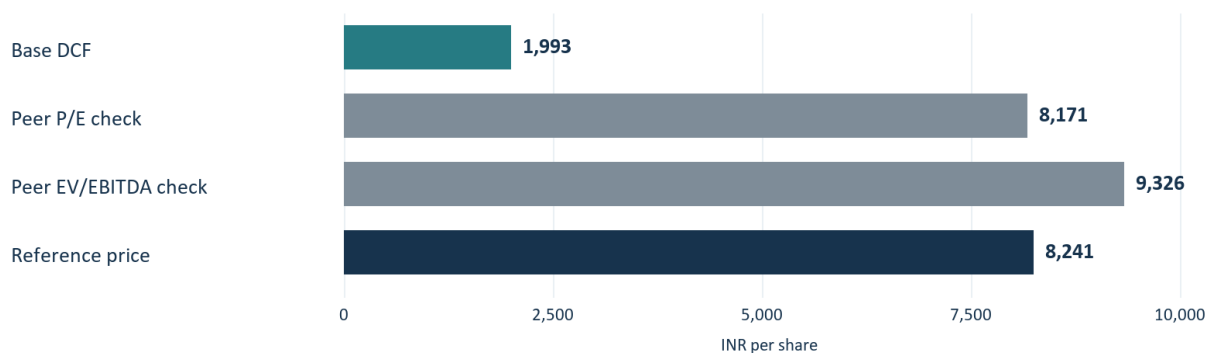
CAUTIOUS | Avoid fresh exposure at the reference price

Polycab combines leading W&C market share with a recovering consumer business. The completed model nevertheless values the shares well below the market: growth requires substantial reinvestment, and the DCF assumes a sharp transition to mature growth after FY31. A positive stock view requires evidence of a longer or more profitable cash-flow runway.

Investment snapshot	Model and market observations
Company and listing	Polycab India Ltd NSE POLYCAB BSE 542652
Valuation date / report date	11 September 2026 / 15 September 2026
Reference market price	INR 8,241 11 September close [6]
Model target value	INR 1,993 per diluted share Base DCF [M]
Implied price downside	75.8% dividends excluded
Valuation interpretation	Point-in-time intrinsic value; no 12-month price forecast

FY26 reported KPIs	Revenue	EBITDA	Total PAT	ROCE
INR bn except ROCE	288.8	40.1	27.1	31.5%

FY26 EBITDA margin 13.9%; parent PAT INR 26.7bn; reported net cash INR 41.9bn. ROCE is 31.5% in investor highlights [10], versus 31.3% in the annual-report ratio table [1].



Sources: [M] Valuation H218, H97-H98 and H212; [6]. Peer values are contemporaneous cross-checks, not a blended target. A = reported actual; E = model estimate. Figures rounded; INR 1bn = INR 100 crore. Source key and definitions on page 9.

Investment thesis

The operating franchise remains attractive; the current price demands more than the completed base case delivers.

1 Wires and cables remain the earnings engine

Company-estimated organised domestic W&C share reached 30-31% in FY26, versus about 18% in FY19. Distribution depth, manufacturing scale and customer approvals support continued gains. [1, 2] The base model compounds W&C income at 17.6% through FY31, while segment EBITDA margin falls from 15.0% to 12.5%. It therefore captures expansion alongside greater pricing and mix pressure. [M]

2 FMEG recovery adds profit but does not transform the group

FY26 FMEG EBIT was INR 0.55bn on INR 20.7bn of income, a 2.7% margin. Q1FY27 reached an 8.0% EBIT margin, providing evidence that the recovery is progressing. [1, 3] The model takes FMEG EBITDA from INR 0.97bn to INR 5.60bn by FY31. That adds roughly 12% of the increase in group EBITDA; W&C still determines the investment outcome. [M]

3 Export execution is upside beyond the base case

Export income rises from INR 15.7bn to INR 44.1bn in the model, but mix only reaches 6.8% by FY31. The annual-report ambition exceeds 10%. [1, 4, M] The model estimates that reaching 10% by FY30 would require about 39% export CAGR from FY26, with domestic and other segment paths held unchanged. Certifications, customer conversion and repeat orders matter more than geographic presence alone.

4 Returns must translate into cash available to investors

The model retains strong operating returns: FY31 pre-tax ROCE is 28.4% on average modeled operating capital. Yet FY27-FY31 cash capex totals INR 71.8bn and operating working capital expands by INR 96.0bn. These demands constrain free cash flow. Supplier acceptances finance procurement and are treated as debt, so the company net-cash headline is not freely distributable cash. [M]

Base case FY26 to FY31	Model implication
Revenue CAGR / parent PAT CAGR	17.5% / 13.9%
Group EBITDA margin	13.9% to 12.0%
FY31 W&C share of group EBITDA	91.2%
FY31 FCFF / operating EBITDA	30.0%

Where the valuation disagreement lies

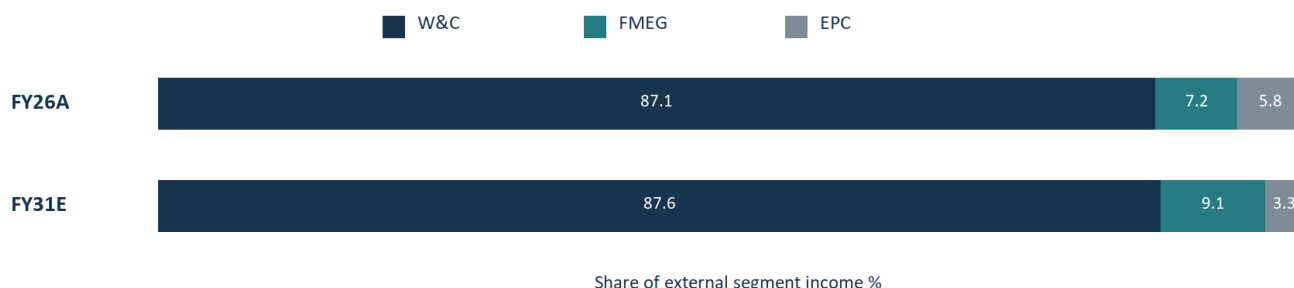
FMEG profitability and export mix can exceed the model. Neither is established as a market mispricing because verified forward consensus is unavailable. The defensible variant view is narrower: the observed price embeds substantially stronger long-run cash generation than this explicitly funded forecast supports.

Sources: [1-4, M]. Thesis statements are analyst interpretations. Model ratios and contributions are calculated from underlying unrounded values.

03 / RESEARCH

Company overview

W&C accounts for 87% of external segment income and remains the dominant source of operating profit.



Source: [M] 3Statement rows 104-107. Mix denominator is total external segment income, including allocated non-finance other income; excludes intersegment sales. FY31 is Base E.

FY26 segment	Income INR bn	EBIT INR bn	EBIT margin	Business exposure
Wires and cables	251.8	34.30	13.6%	Retail, industrial and infrastructure cables
FMEG	20.7	0.55	2.7%	Fans, lighting, switches, solar and electrical goods
EPC	16.7	1.66	9.9%	Power and infrastructure project execution

Revenue reconciliation

FY26 external segment income totals INR 289.147bn. Subtracting INR 0.309bn of allocated non-finance other income reconciles to consolidated operating revenue of INR 288.838bn. Exports are included within W&C in the model and must not be added again to group revenue. [1, M]

Market position and route to customers

Polycab reports 26 manufacturing units, more than 3,900 dealers and distributors, and over 190,000 retail touchpoints. Its international footprint spans 94 countries. [1, 8] Scale supports availability and range, while backward integration and technical approvals help serve demanding institutional customers. These advantages can sustain share gains, although competitors can still expand capacity and compete on dealer incentives.

The business mix changes gradually

By FY31, FMEG rises to 9.1% of segment income from 7.2% in FY26. EPC falls to 3.3% from 5.8% as the model assumes flat FY27 income followed by modest growth. The forecast treats EPC conservatively because project milestones, retention receivables and collection timing can make revenue and cash generation uneven. [M]

Segment figures: [1] audited consolidated segment disclosures, printed pp386-388, as retained in [M]. Segment EBIT includes allocated other income; the model removes non-finance other income when deriving group operating EBIT.

Industry and growth drivers

Infrastructure spending creates demand, but volume, commodity prices and market-share gains must be separated.

Polycab's FY26 annual report estimates the Indian W&C market at about INR 1,000bn, versus INR 350bn in FY14, and cites BCG for a demand outlook of roughly 1.5-2 times GDP growth through FY30. This is company-published third-party research, not an independently verified industry forecast. [5]

Grid investment and renewable energy

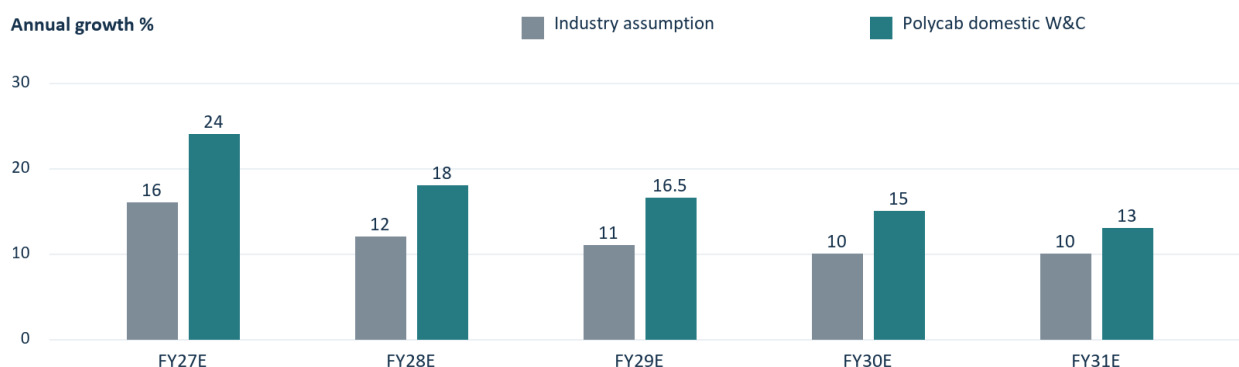
Transmission upgrades, distribution reinforcement and renewable interconnections expand the need for power cables. Project timing and customer approvals determine conversion into sales. The model includes these drivers in industry growth; it does not add separate revenue increments for each theme. [5, M]

Infrastructure and data centres

Rail, airports, housing and industrial projects broaden end-market demand. Data centres add power distribution, redundancy and specialist cable requirements. These opportunities support product mix, but project announcements alone do not establish Polycab order wins or margins. [2, 5]

Organised market share gains

Brand trust, product safety, dealer coverage and the ability to meet institutional specifications can shift demand toward organised suppliers. Polycab can benefit from that shift and gain share within the organised market. These are distinct effects: its 30-31% share refers to the organised domestic market. [1, 5]



Source: [M] Drivers rows 9-18 and 3Statement row 100. Nominal growth includes price effects; volume is not forecast separately. No extra commodity-price uplift is added.

The near-term comparison is demanding

Q1FY27 group revenue grew 39%, while FMEG grew 71% and exports fell 13%. [3] Full-year base growth of 23.3% implies about 19.2% group growth in Q2-Q4. Strong nominal growth therefore does not justify extrapolating the first quarter; export recovery and sustained volumes still need to be demonstrated. [M]

Competitive check: UltraTech announced INR 18bn of W&C investment with commissioning targeted for December 2026. Treat the announced timetable as a plan, and monitor actual commissioning and channel activity. [7]

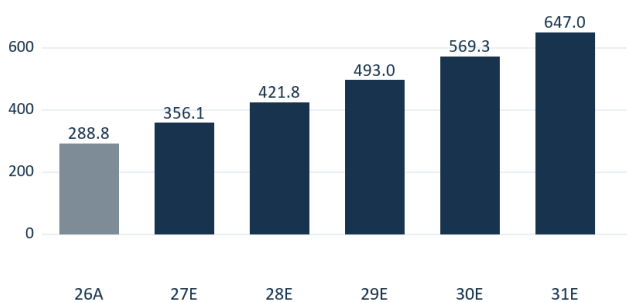
Financial forecast

Revenue more than doubles by FY31, while margin normalization holds earnings growth below sales growth.

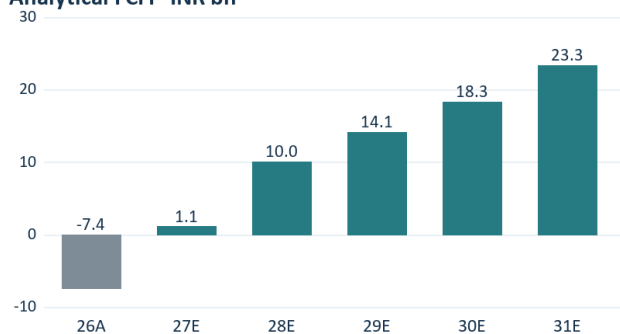
INR bn unless stated	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	288.8	356.1	421.8	493.0	569.3	647.0
Revenue growth	28.9%	23.3%	18.5%	16.9%	15.5%	13.6%
Operating EBITDA	40.1	47.2	54.2	61.3	68.4	77.8
EBITDA margin	13.9%	13.3%	12.9%	12.4%	12.0%	12.0%
Total PAT	27.1	31.9	35.3	40.1	45.0	51.9
Parent PAT	26.7	31.5	34.8	39.5	44.4	51.2
Diluted EPS INR	176.9	208.5	230.6	261.7	293.9	338.8
Export mix	5.4%	5.1%	5.3%	5.7%	6.2%	6.8%
FMEG EBITDA margin	4.7%	9.0%	9.2%	9.5%	9.5%	9.5%
Net cash capex	14.8	14.0	14.0	14.0	14.0	15.8
Analytical FCFF	-7.4	1.1	10.0	14.1	18.3	23.3
Model ROCE	34.1%	30.3%	28.8%	28.3%	27.9%	28.4%

Sources: [1, M]. FY26 FCFF and model ROCE are analyst calculations from actuals. Model ROCE = EBIT / average operating capital; FY26 is 34.1% on this basis. Company figures are 31.5% in investor highlights [10] and 31.3% in the annual-report ratio table [1]. FY27-FY31 are full-year estimates.

Revenue INR bn



Analytical FCFF INR bn



Source: [M] Dashboard revenue and FCFF series, redrawn for the report. FY26 historical FCFF excludes required-cash growth; forecast FCFF deducts it. See page 9 for definitions.

Cash conversion improves after FY27 normalization

FY27 FCFF is only INR 1.1bn despite INR 47.2bn of EBITDA. Operating NWC absorbs INR 20.5bn, required cash adds INR 0.9bn, and cash capex uses INR 14.0bn. By FY31 FCFF reaches INR 23.3bn. Model treasury assets fall from INR 42.9bn to INR 24.8bn in FY27, partly as supplier acceptances normalize, before recovering to INR 67.7bn in FY31. [M]

The key forecast trade-off is visible in margins: W&C EBITDA fades to 12.5%, while FMEG improves to 9.5%. Depreciation rises as assets enter service. The result is 17.5% revenue CAGR versus 13.9% parent PAT CAGR. [M]

DCF valuation

The model target value is INR 1,993 per share, with 85.9% of enterprise value coming from the terminal period.

The DCF discounts remaining FY27-FY31 unlevered free cash flow at an INR WACC of 12.45%. It uses 4.0% perpetual growth and 15.29% terminal ROIC, implying reinvestment of 26.2% of terminal operating profit after tax. FY27 cash flow is prorated to the 11 September valuation date. [M]

DCF bridge	INR bn
PV of remaining explicit cash flows	45.1
PV of terminal value	274.8
Enterprise value	319.9
Less net financing claims	17.3
Less non-controlling interests	1.4
Equity value	301.3
Diluted shares proxy million	151.174
Value per diluted share INR	1,993

Net financing claims = INR 40.0bn borrowings, leases and supplier acceptances less INR 22.7bn surplus treasury. Claims, reserves, NCI and dilution are model estimates. [M] Valuation H190-H218.

Sensitivity to discount rate and perpetual growth

WACC / growth	3.0%	3.5%	4.0%	4.5%	5.0%
10.45%	2,605	2,685	2,777	2,883	3,008
11.45%	2,225	2,275	2,331	2,394	2,466
12.45%	1,927	1,959	1,993	2,031	2,072
13.45%	1,689	1,708	1,728	1,750	1,773
14.45%	1,493	1,504	1,515	1,527	1,539

INR per share. Source: [M] Valuation D49:I54. The centre at 12.45% WACC and 4.0% growth equals the base DCF; terminal ROIC remains 15.29%.

Why the value is far below the market

The DCF moves from 13.6% FY31 revenue growth to 4% perpetual growth and implies a terminal EV/EBITDA multiple of 6.0x. Current closer peers trade at 35.2x FY26 EBITDA. That difference in assumed growth duration and cash conversion drives the valuation disagreement. Even a diagnostic with 10% WACC, 5% terminal growth and 25% terminal ROIC yields only INR 3,910. [M]

The March-anchored INR 1,933 value is a retained model reference. This report uses the September value, which adjusts remaining cash flows, financing claims and diluted shares. The base target is an intrinsic-value estimate at that date; the model does not predict when the market will converge to it.

Comparables and scenarios

Peer pricing offers a much higher cross-check, while every operating scenario remains below the reference price.

Company	FY26 sales growth	FY26 EBITDA %	FY26 ROCE %*	EV / EBITDA	P/E
Polycab	28.9%	13.9%	33.2%	31.1x	46.6x
KEI Industries	20.7%	10.5%	20.0%	35.2x	47.7x
Havells	3.4%	9.9%	24.9%	30.2x	41.2x
RR Kabel	27.6%	8.1%	28.1%	35.1x	55.7x
Finolex Cables	18.8%	9.8%	16.0%	30.9x	30.5x
V-Guard	7.0%	8.8%	18.4%	26.7x	46.2x

Source: [M] Valuation D62:I79 and Cover sources S11-S21, S27-S32. Prices: 11 September 2026. EV uses FY26 balance-sheet proxies. *ROCE is the standardized provider measure, including Polycab 33.2%; it differs from company-reported and model definitions.

KEI and RR Kabel are the closer operating peers. Their mean 35.2x FY26 EV/EBITDA implies INR 9,326 for Polycab, or 13.2% upside. The all-peer median 46.2x FY26 P/E implies INR 8,171, or 0.8% downside. These are separate cross-checks; no weights or blended target are imposed. [M]

Havells and V-Guard have broader consumer exposure; Finolex has material investment and associate income. Supplier finance, restricted cash and strategic stakes are imperfectly aligned. These are screening multiples, not fully normalized valuations. No forward peer consensus is used.

Operating cases from the completed workbook

Model assumption or output	Bear	Base	Bull
FY26-FY31 revenue CAGR	10.3%	17.5%	22.2%
W&C income CAGR	10.5%	17.6%	22.3%
FMEG income CAGR	14.3%	23.3%	28.5%
FY31 revenue INR bn	471.8	647.0	786.0
FY31 EBITDA INR bn	49.8	77.8	99.1
FY31 parent PAT INR bn	30.9	51.2	66.5
FY31 export mix	5.1%	6.8%	8.9%
FY27-FY31 cash capex INR bn	61.1	71.8	82.6
DCF value INR per share	1,163	1,993	2,618
Price upside or downside	-85.9%	-75.8%	-68.2%

Source: [M], the same integrated model recalculated using its case selector. WACC stays approximately 12.45% across cases; small differences reflect financing weights. Terminal growth 4.0% and ROIC 15.29% are unchanged. No scenario probabilities are assigned.

Bear assumptions combine weaker growth, 11% terminal W&C EBITDA margin and slower collections. Bull assumptions combine faster growth, 13% W&C margin, 11% FMEG margin and better working-capital days. Even Bull reaches only 8.9% export mix in FY31. The earlier conversational scenario ranges are not substituted for these workbook outputs.

Catalysts risks and conclusion

Watch cash conversion and durable earnings growth before revisiting the cautious stock view.

Monitor	Evidence that supports the case	Risk or review trigger
W&C demand Quarterly	Domestic nominal growth tracks the FY27 24% model; volumes remain healthy.	Price-led growth masks weak volumes or inventory destocking.
Margins and competition Quarterly	W&C EBITDA near the FY27 14% model; share gains continue.	Dealer incentives or new capacity push margins below the modeled path.
FMEG profitability Quarterly	Growth and cash conversion support the FY27 9% EBITDA assumption.	Profitability relies on a temporary solar or product-mix spike.
Exports Quarterly	Recovery supports +15% FY27 and +25% thereafter; mix rises over time.	Order delays, tariffs or certification bottlenecks prolong weakness.
Working capital Half-yearly	Receivables near 45 days, inventory near 92 and ordinary payables near 30.	Persistent slippage versus these model-defined closing ratios.
Capex and returns Half-yearly	Capacity absorption supports modeled ROCE of about 28-30%.	Capex overruns or idle capacity erode returns and FCFF.
Financial disclosures Each filing	Supplier funding, treasury restrictions and ownership claims remain transparent.	New liabilities, weak disclosure or dilution changes equity value.

Monitoring levels are analyst/model benchmarks, not management commitments. Company-reported working-capital days use different definitions. Sources: [M]; operating context [3, 4, 7].

Conclusion

Polycab offers a credible route to sustained growth through W&C leadership, improving FMEG economics and exports. At INR 8,241, however, the completed model provides insufficient valuation support. The report therefore adopts a cautious, avoid-fresh-exposure conclusion, with a base intrinsic value of INR 1,993 and a Bear-to-Bull range of INR 1,163-2,618.

The most consequential challenge to this view is a longer period of profitable growth after FY31. A model diagnostic extending 15% operating-profit growth for ten additional years at 25% incremental ROIC raises value to INR 3,357; twenty additional years at 20% growth raise it to INR 8,542. These calculations fund growth through reinvestment. They show the scale of the duration assumption rather than a forecast that such growth will occur. [M]

Reconsider the conclusion if sustained volumes, export conversion and reinvestment returns justify a materially stronger funded cash-flow path, or if the entry valuation changes. The 75.8% DCF gap measures disagreement with the model; it is not a forecast of an imminent price fall.

Sources and methodology

The completed workbook is the financial authority; published disclosures support the operating facts and strategic context.

Model estimates and scenario outputs are taken from Polycab_Valuation_Explained.xlsx, completed 15 September 2026. The active Base output, Bear and Bull recalculations, DCF arithmetic and balance-sheet reconciliations were checked for this report. Values are converted from INR million to INR billion. Tables remain editable; figures are redrawn from workbook data.

Source register

[1] [Polycab FY26 integrated annual report](#) Audited statements pp314-317; segment disclosures pp386-388; financial KPIs p520. Local project copy and workbook source mapping reviewed.

[2] [Polycab Q4FY26 earnings presentation 6 May 2026](#) FY26 KPIs, share, segments and exports; pp3-10 and 27-29.

[3] [Polycab Q1FY27 earnings presentation 16 July 2026](#) Quarterly operating update; pp4, 6, 8, 10 and 16.

[4] [Polycab Project SPRING FY26 annual report](#) Growth, export mix, capex and EBITDA targets.

[5] [Polycab market insights FY26 annual report](#) Company-published industry research. Market-size outlook attributed to BCG; demand themes reflect the company view.

[6] [EquityPandit Polycab historical prices](#) 11 September 2026 closing price INR 8,241. Secondary market-data source.

[7] [UltraTech wires and cables investment announcement 25 February 2025](#) INR 18bn planned investment and December 2026 commissioning target; announced plan.

[8] [Polycab customers FY26 annual report](#) Distribution network and international reach.

[9] [Polycab Q1FY27 earnings-call transcript](#) Margin definitions, supplier funding and operating context.

[10] [Polycab FY26 investor highlights](#) Reports FY26 ROCE of 31.5%; annual-report ratio-table discrepancy is disclosed on page 1.

[M] Completed valuation workbook. Main references: 3Statement H9:M26, H89:M93, H100:M132 and H171:M174; Valuation H190:H220, D49:I54 and D62:I100; Drivers case assumptions; Cover source register. Peer inputs retain its primary filings and standardized provider data (S11-S21); historical quote links are S27-S32. Source observations accessed 14-15 September 2026.

Definitions and interpretation

PAT is shown both for the consolidated group and attributable to shareholders; EPS uses parent earnings. Segment EBITDA adds segment D&A to reported EBIT. The annual-report SPRING table labels W&C guidance as EBITDA; the Q1 call discusses margins in an EBIT context. This report follows the explicit annual-report labels and preserves the workbook EBITDA inputs. The two measures are not interchangeable.

FCFF = operating EBIT after tax + D&A - gross cash capex - right-of-use additions - operating NWC investment - required-cash growth. Historical FCFF excludes required-cash growth. Supplier acceptances are financing, excluded from operating payables and deducted in the equity bridge; their funding receipts are not FCFF. Reported net cash follows the company definition and excludes these acceptances.

The September bridge uses interpolated financing balances, dividend timing adjustments, reserved operating cash and bank balances, book NCI and approximate dilution. WACC uses a dated government-yield/default-spread framework, an analyst beta and dated equity-risk-premium inputs. Asset depreciation is modeled in aggregate. These assumptions and the terminal-growth transition materially limit precision.

This independent research project presents a valuation argument for review and interview discussion. The rating-style conclusion is conditional on the stated model and reference price.